

We would be remiss if we didn't at least mention this amazing strategy, even though it's definitely not for everyone. More and more people are flocking to what is commonly referred to as *house hacking* in order to offset their housing costs.

The idea behind house hacking is to generate rental income while you live in a property to cover part or all of the mortgage payment. There are many ways to do this, all of which exist on a lifestyle–cost spectrum. On one end, you can purchase a duplex, triplex, or fourplex and rent out the extra units while living in one—the more expensive but more luxurious option. Somewhere in the middle, there's purchasing a property with an additional dwelling unit (ADU), like a mother-in-law suite or an apartment above the garage, then renting that extra space out to a tenant. On the opposite end of the spectrum, you can rent out one of the rooms of your personal home.

Hey, remember when you had a roommate? What about those upstairs neighbors that stomped around like clumsy baby elephants? Yes, house hacking is a throwback to apartment living, but the benefits often outweigh the negatives. When you rent out that extra space (whatever the space may be), the tenant's rent payment covers some or all of your mortgage.

Just ask yourself: Would you trade the privacy of single-family living for a chance to pay close to \$0 per month to live in your home? Some might answer with a very stern no. Some might answer with an enthusiastic, shouted-from-the-rooftops *yes!* It's all about personal preference.

We won't go into too much detail here, since there are other books and countless online resources dedicated entirely to house hacking. But we will say this: This weird little strategy has kickstarted many wealth-building journeys, and it's worth considering if you want to take a few baby steps into the world of real estate investing. With house hacking, you can generate enough cash flow to live entirely for free (and then some).

Prior to writing this book, Scott house hacked various duplexes around Denver for seven years. The savings on rent, plus the wealth built through investing those savings in rentals and other investments, currently pay for his housing costs outright. This allows him to *rent* (yes, rent) a very nice condo that is paid for entirely by investment income!